



# Cambridge International AS & A Level

## ECONOMICS

9708/33

Paper 3 A Level Multiple Choice

October/November 2023

1 hour 15 minutes

You must answer on the multiple choice answer sheet.

You will need: Multiple choice answer sheet  
Soft clean eraser  
Soft pencil (type B or HB is recommended)

## INSTRUCTIONS

- There are **thirty** questions on this paper. Answer **all** questions.
- For each question there are four possible answers **A**, **B**, **C** and **D**. Choose the **one** you consider correct and record your choice in soft pencil on the multiple choice answer sheet.
- Follow the instructions on the multiple choice answer sheet.
- Write in soft pencil.
- Write your name, centre number and candidate number on the multiple choice answer sheet in the spaces provided unless this has been done for you.
- Do **not** use correction fluid.
- Do **not** write on any bar codes.
- You may use a calculator.

## INFORMATION

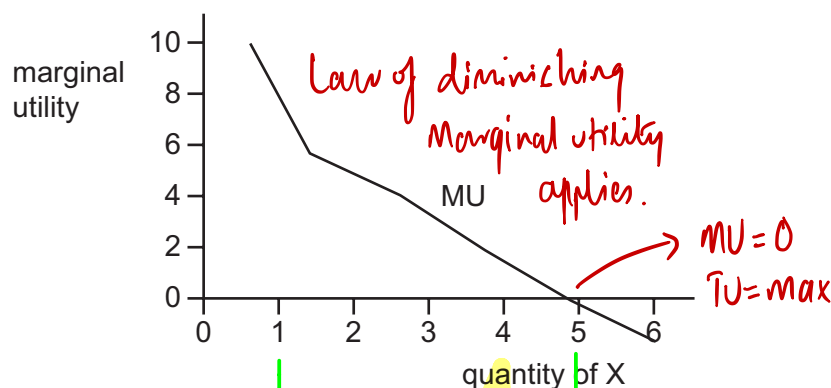
- The total mark for this paper is 30.
- Each correct answer will score one mark.
- Any rough working should be done on this question paper.



Done

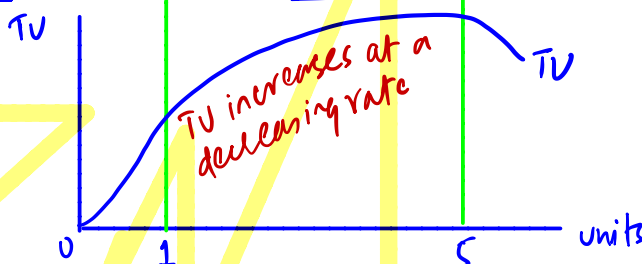
This document has **12** pages. Any blank pages are indicated.

- 1 The diagram shows the marginal utility (MU) from the consumption of quantities of good X.



What happens to the total utility as consumption of X rises from 1 to 6 units?

- A It falls continuously.
- B It falls and then rises.
- C It rises continuously.
- ☒ D It rises and then falls.



- 2 An indifference curve is typically drawn with a convex shape. (decreasing opportunity cost)

Which economic concept explains the reason for this convex shape?

- A allocative efficiency, where Marginal cost = price
- ☒ B diminishing marginal rate of substitution (follows law of diminishing MU)
- C Pareto optimality
- D the equi-marginal principle (where IC is tangent to budget line  $\frac{MU_x}{P_x} = \frac{MU_y}{P_y}$ )

inside the PPC, towards PPC

- 3 What is most likely to increase the principal-agent problem? (Shareholder vs Manager)

- A ensuring the actions of agents are known by the managers (managers will be aware, transparency) (problem reduce)
- B linking the rewards of managers with the profitability of the firm (This reduces the problem) (as manager will be concerned with profits).
- ☒ C removing from managers the opportunity to hold shares
- D preparing contracts that compel agents to work in the interest of the principal (problem reduced) as contracts will bound them to work according to principal

They can't have the stake in the company and firm's profitability, this increases the problem

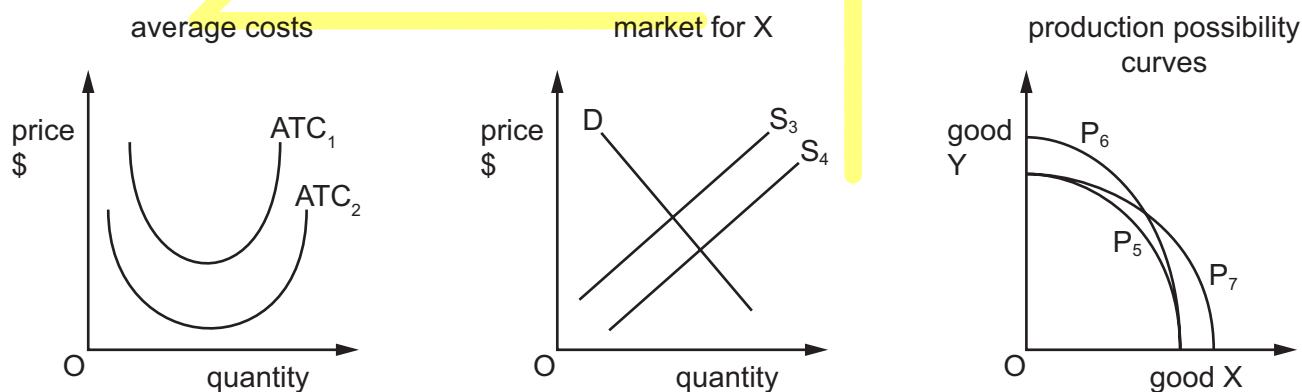
- 4 The table shows a firm's total fixed cost and total variable cost.

| <i>AFC</i> | output | total fixed cost \$ | total variable cost \$ | <i>AVC</i> |
|------------|--------|---------------------|------------------------|------------|
| 1000       | 1      | 1000                | 1000                   | 1000       |
| 500        | 2      | 1000                | 2000                   | 1000       |
| 333.3      | 3      | 1000                | 3000                   | 1000       |
| 250        | 4      | 1000                | 4000                   | 1000       |
| 200        | 5      | 1000                | 5000                   | 1000       |
| 166.67     | 6      | 1000                | 6000                   | 1000       |

What can be concluded from the table?

- ☒ **A** Average fixed cost falls.,  $AFC = TFC/Q$ ,  $Q \uparrow \rightarrow AFC \downarrow$   
**B** Average fixed cost is constant., *can't be*  
**C** Average variable cost falls.,  $AVC = TVC/Q$ , *no, it's constant*  
**D** Average variable cost rises., *see reason of option C.*

- 5 The diagrams relate to industry X.  $P_5$  is the original production possibility curve.



An improvement takes place in manufacturing techniques in industry X.

Which changes take place?

|                                              | <i>downward shift</i><br>average costs | <i>rightward shift</i><br>market for X | new production possibility frontier |
|----------------------------------------------|----------------------------------------|----------------------------------------|-------------------------------------|
| <input checked="" type="checkbox"/> <b>A</b> | ATC <sub>1</sub> to ATC <sub>2</sub> ✓ | S <sub>3</sub> to S <sub>4</sub> ✓     | P <sub>7</sub> ✓                    |
| <b>B</b>                                     | ATC <sub>1</sub> to ATC <sub>2</sub> ✓ | S <sub>4</sub> to S <sub>3</sub>       | P <sub>6</sub>                      |
| <b>C</b>                                     | ATC <sub>2</sub> to ATC <sub>1</sub>   | S <sub>3</sub> to S <sub>4</sub> ✓     | P <sub>6</sub>                      |
| <b>D</b>                                     | ATC <sub>2</sub> to ATC <sub>1</sub>   | S <sub>4</sub> to S <sub>3</sub>       | P <sub>7</sub> ✓                    |

*increase in output of good X.*

*output of good Y increases only, keeping good X output unchanged.*

- 6 The world's largest coffee restaurant chain purchased a large coffee bean farm in Costa Rica. The farm has research and development facilities to study specific diseases that devastate the coffee bean crop.

*tertiary to primary (vertical backward)*

How is this type of takeover classified?

- A horizontal integration *(same stage, same industry)*
- B organic growth *(represents increased sales, innovation, expansion)*
- ☒ C vertical backward integration
- D vertical forward integration *(reverse option C)*

*Nothing to do with price discrimination*

- 7 Which condition is necessary for a firm to practise third degree price discrimination effectively?

- A All consumers and producers must be in the same geographical location. *(Not necessary condition)*
- ☒ B Customers must be divided into separate markets for the same product. *(Based on PED, then price discrimination works effectively)*
- C Each separate market must have identical price elasticities of demand.
- D Price undercutting is required to enter a monopolistic market.

*market must have different elasticity, then discrimination takes place, if identical, no discrimination can take place*

- 8 A traffic study concluded that there would be significant benefits if 10% of car drivers switched to using motorcycles during peak traffic times.

Which benefit of this change would be considered a private benefit?

- A faster journeys for those who continued to go by car
  - ☒ B faster journeys for those who switched to motorcycles
  - C increased safety for cyclists
  - D reduced levels of air pollution for pedestrians
- Benefit to consumer and producer in consuming and producing a good or service*  
*External benefit, benefit received because some switched to using motorcycles.*  
*Benefit to the individual user*  
*option C and D, refers to external benefit*

- 9 Which conditions are most likely to reduce the accuracy of cost-benefit analysis in decision making?

*External cost and benefits don't have monetary value attached to it, it doesn't go through the market, they don't have price attach to it, requires estimation, so greater proportion of EC and EB will reduce accuracy of COBA.*  
*Anticipating future cost is also a difficult task, so if its % are high, accuracy will reduce.*

|                                       | proportion of external costs and benefits to total costs and benefits | % of total costs and total benefits that are in the future |
|---------------------------------------|-----------------------------------------------------------------------|------------------------------------------------------------|
| <input checked="" type="checkbox"/> A | high ✓                                                                | high ✓                                                     |
| B                                     | high ✓                                                                | low                                                        |
| C                                     | low                                                                   | high ✓                                                     |
| D                                     | low                                                                   | low                                                        |

*High time discounting*

Third-degree price discrimination occurs when a firm charges different prices to different consumer groups for the same product, based on differences in PED. A firm must be able to segment its market into distinct groups / different customer groups, e.g. students, seniors, adults etc.

from actual to PPC, increasing output of one good, without decreasing output of other

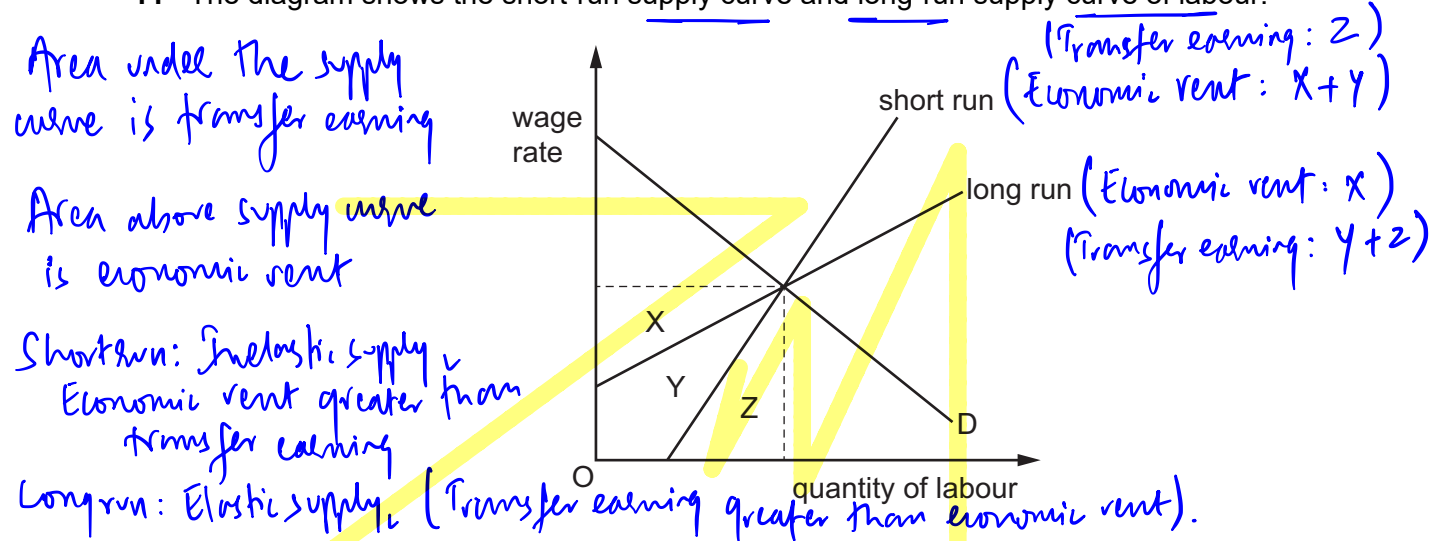
from inside PPC, towards PPC

Goods with -ve externality mostly raises utility, though unrelated to Pareto.

10 What is consistent with a movement towards Pareto optimality?

- A when negative externality lowers the utility of an individual (nothing to do with Pareto)
- B when consumption of a good is non-rival related to public good
- C when reallocation of resources can make someone better off without making any other person worse off (Remember movement vertically or horizontally)
- D when trade takes place to make one nation better off at the expense of its trading partner
- ↳ Nothing to do with international trade

11 The diagram shows the short-run supply curve and long-run supply curve of labour.



Which area turns from economic rent in the short run to transfer earnings in the long run?

- A X B X+Y C Y D Y+Z

$$MP_L \uparrow = \frac{\Delta TP}{\Delta L}$$

12 Which policies might a government introduce to increase the marginal productivity of labour?

|   | yes<br>better<br>education | yes<br>tax allowances<br>for capital<br>goods |
|---|----------------------------|-----------------------------------------------|
| A | no                         | no                                            |
| B | no                         | yes                                           |
| C | yes                        | no                                            |
| D | yes                        | yes                                           |

Better education  
↳ Skills  
↳ Efficiency ↑  
↳ productivity ↑

\* tax allowance for capital goods  
↳ Investment on capital goods ↑  
↳ Labour able to produce more output than before

13 What is most likely to increase relative poverty in a country?

- A increasing means-tested benefit levels Targeting the one who need support, inequality ↓
- B increasing the power of trade unions, minimum wage or better conditions, training, benefits workers, inequality ↓
- C making the tax system more progressive
- D removing the national minimum wage ↳ Impact on rich, transfer payments, inequality ↓  
↳ wage now determined through demand and supply, leading to lower wages, inequality ↑

Reduces the chance of charging high price

14 Which policy is not designed to correct a market failure?

- A government provision of healthcare, since they are underallocated, government provision will improve allocation of resources
- B price controls on large firms max price, price ↓
- C regulations to limit smoke pollution regulations: laws/limit/ban
- D introducing import quotas (protectionist policy, macroeconomic)

15 To control the cost of living, governments have sometimes imposed a maximum price on certain goods that is below the free market price. Effective

What is often an undesirable side effect of such a policy?

- A accelerating general inflation max price, below equilibrium, price ↓
- B an increase in profits above normal profits max price, P ↓, Qs ↓, TR ↓, profits ↓
- C an increase in the stocks of unsold goods held by firms max price, Qd > Qs: Shortage
- D shortages of the good, correct, as Qd > Qs: Excess demand

16 When is an increase in national income most likely to induce an increase in investment spending? Accelerator

- A when firms have spare production capacity Having the capacity reduces the change of investment, as investment increases the capacity.
- B when firms use labour-intensive production Labour intensive production actually reduces the investment in capital goods.
- C when the increase in income is regarded as permanent, this gives confidence to firms to invest in capital goods.
- D when the increase in income is regarded as temporary

17 What is a function of money?

- A It can be divided into small units.
- B It can be easily carried.
- C It is a standard of deferred payment.
- D It is widely accepted.

In economics, standard of deferred payment is a function of money. It is the function of being a widely accepted way to value a debt, thereby allowing goods and services to be acquired now and paid for in the future.

A, B, D: characteristics

other functions: medium of exchange, unit of account, store of value.

18 A pandemic encourages many workers in developed countries to work from home, leading to a closure of city centre businesses such as coffee shops and retailers.

If this way of working continues after the pandemic, what is the most likely result?

- A Frictional unemployment will decrease. Remote work doesn't directly affect frictional unemployment.
- B The geographical mobility of labour will increase. It's pandemic, geographical mobility ↓
- C Structural unemployment will increase. correct, fall in demand in particular industry, coffee shops and retailers
- D Voluntary unemployment will increase.

People are unlikely to leave jobs voluntarily considering closure of city centre businesses.

Also reduction in disposable income,  $AD \downarrow$ , output  $\downarrow$ , negative impact on growth.

7

- 19 In its 2020 population census, China reported that the total population was just below 1.4 billion. The birth rate had continued to decline, the number of those reaching retirement age had increased and the percentage size of the workforce had decreased.

Which change of policy would most quickly sustain China's economic growth in view of these population changes?

- A Allow more immigration of labour.  $\rightarrow$  move people coming in China, potential  $\uparrow$ , workforce increased  $\rightarrow$  offset declining workforce
- B Encourage women to leave work to have more children. workforce  $\downarrow$ , raises concern
- C Increase research in technology to improve labour productivity. Can't be quick, need time
- D Tax the labour force more to pay for the increasing number of pensions.  $\hookrightarrow$  Disincentive to work, Tax evasion

- 20 Other things remaining equal, what will reduce the level of national income in an economy?

- A a fall in planned savings  $Save \downarrow$ , spend  $\uparrow$ ,  $C \uparrow$ ,  $AD \uparrow$ , output  $\uparrow$
- B a fall in the marginal propensity to import,  $MPM \downarrow$ , so  $mPC \uparrow$ , multiplier  $\uparrow$ ,  $RNI \uparrow$
- C an increase in the average propensity to consume  $APC \uparrow$ , spending  $\uparrow$ ,  $RNI \uparrow$
- D a reduction in the level of defence expenditure  $G \downarrow$ ,  $AD \downarrow$ , national income  $\downarrow$

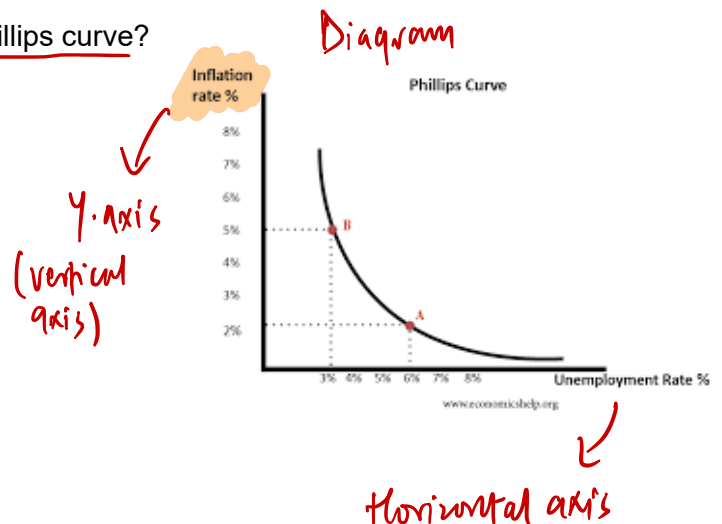
$\rightarrow$  Define: Investment is driven by changes in national income

- 21 What, according to the accelerator principle, will cause the level of investment to fall?  $\text{National income}$

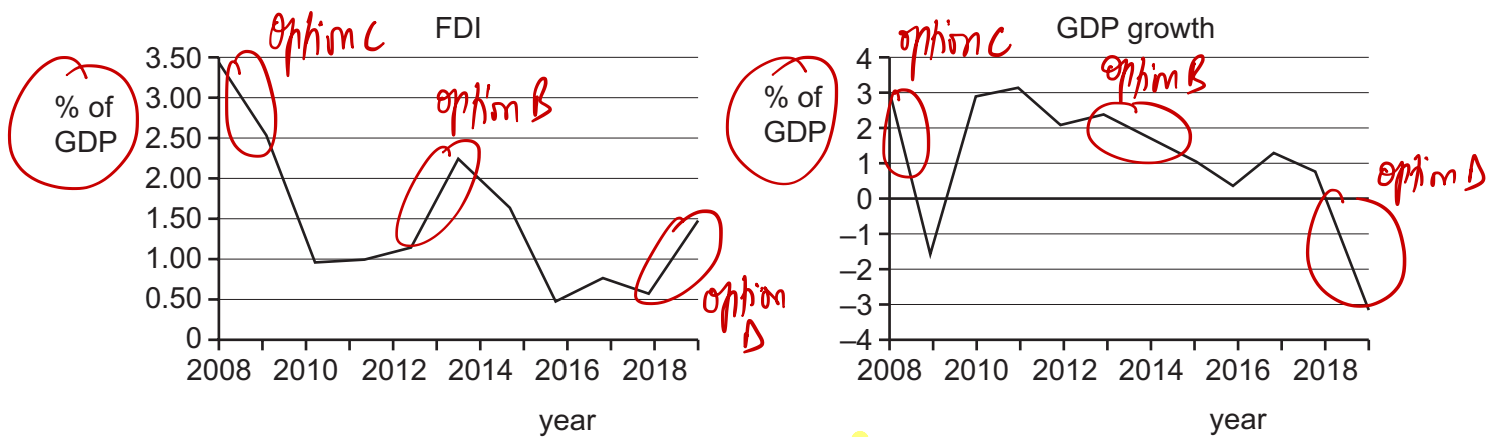
- A a decrease in confidence, low confidence,  $\downarrow$  Investment (But not related to accelerator)
- B a decrease in the rate of growth of national income
- C an increase in the price of capital equipment, can affect cost of investment, not related to accelerator
- D an increase in the rate of interest, this explains negative relationship,  $MEC/MEI$

- 22 What is measured on the vertical axis of the Phillips curve?

- A the rate of change of real wages
- B the rate of change of take-home pay
- C the rate of inflation
- D the rate of interest



- 23 South Africa has attempted to improve the level of economic growth by attracting foreign direct investment (FDI).



What can be deduced from this diagram about the relationship between FDI and GDP growth between 2008 and 2018?

- ☒ A The relationship between level of FDI and GDP growth is generally weak.
- ☐ B Increases in FDI are in line with improvements in GDP growth.
- ☐ C Lowering FDI is linked to stable GDP growth.
- ☐ D Negative GDP growth is linked to a lack of inflows of FDI.

No proper relationship identified

All answered in the diagram.

Difference between economic growth and economic development.

- 24 Which change would be most likely to indicate that a country has experienced economic development?

- ☐ A an appreciation in the country's currency, Appreciation, Xp↑, mpt, Trade deficit, ASD
- ☒ B an improvement in the average citizen's quality of life Correct (Health, education, overall wellbeing)
- ☐ C an improvement in the country's trade balance, related to actual growth (Economic growth)
- ☐ D an increase in the country's real GDP, related to actual growth

Quality of life improves

- 25 The table gives some economic indicators for four countries.

Which country is closest to achieving the principal aims of government economic policy?

|                                       | change in GDP (%) | rate of inflation (%) | unemployment (%) | balance of payments (% of GDP) |
|---------------------------------------|-------------------|-----------------------|------------------|--------------------------------|
| A                                     | 0.47              | 0.8                   | 3.4 ✓            | +3.3                           |
| B                                     | 1.13              | 0.9                   | 10.5             | -0.1                           |
| C                                     | 1.18              | 1.1                   | 6.9              | -3.3                           |
| <input checked="" type="checkbox"/> D | 1.45              | 0.1                   | 4.6 ✓            | +8.5                           |

Higher → Highest  
 lower → lowest  
 lower ✓  
 higher → Highest

26 What is a government macroeconomic aim?

- ✓ **A** a fall in the general price level of goods and services (price stability, macroeconomic objective)  
**B** an increase in monopoly regulation Micro (Market structures)  
**C** lower taxes on consumer goods Micro (Supply of specific good)  
**D** a minimum wage for low paid agricultural workers Micro (Labour market)

27 Which row correctly identifies the characteristics of a low-income economy? (Developing)

High                      High                      low

|            | dependency on the primary sector | Gini coefficient value | per capita real income |
|------------|----------------------------------|------------------------|------------------------|
| <b>A</b>   | high ✓                           | high ✓                 | high                   |
| ✓ <b>B</b> | high ✓                           | high ✓                 | low ✓                  |
| <b>C</b>   | high ✓                           | low                    | low ✓                  |
| <b>D</b>   | low                              | high ✓                 | low ✓                  |

e.g. Pakistan

represents inequality (Remember: Lorenz curve)

28 What is the role of the International Monetary Fund (IMF)?

- A** to advise countries that are experiencing trade disagreements  
**B** to help charities providing emergency assistance to countries in need  
 ✓ **C** to offer short-term assistance to countries with balance of payments problems  
**D** to provide interest-free credit to developing countries for infrastructure purposes

→ IMF does provide financing but its not interest free, terms and conditions applied.  
 B: United Nations or NGOs

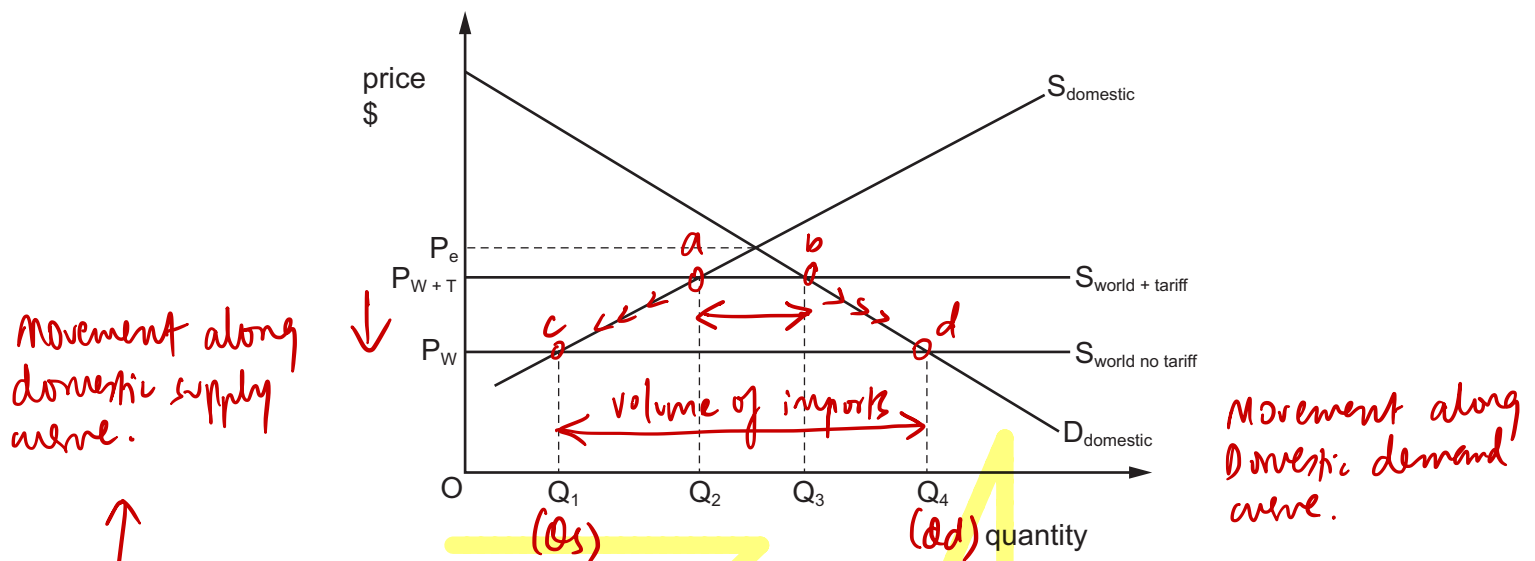
A: World Trade organization

Read:

The International Monetary Fund (IMF) plays a crucial role in:

- Providing short-term loans to countries facing balance of payments difficulties or foreign exchange shortages.
- Helping countries address economic crises, such as currency fluctuations or debt issues.
- Offering technical assistance and policy advice to member countries.

- 29 The diagram shows the international trading position of a country that had tariffs on imports. The country removed the tariffs on imports.



What was the quantity of imports into this country after the removal of the tariffs?

- A  $Q_1Q_2$     ☒ B  $Q_1Q_4$     C  $Q_2Q_3$     D  $Q_3Q_4$

Imports at  $P_W + T$

- 30 Under which circumstances will low wages and low-cost land in a low-income country not attract foreign investment in manufacturing?

- A if the country creates genuine independence for their central bank  
 B if the country embarks on a programme of privatisation  
☒ C if the country lacks well-developed infrastructure  
 D if the country permits repatriation of profits

(less government involvement)

offers companies to acquire assets and participate in the economy.

FDI attracted.

Central Bank independence is important for monetary policy and economic stability.  
 FDI attracted.

sending back profits to home country.

discourage!  
 cost ↑  
 roads, port, airport, electricity, water

| Question | Answer | Marks |
|----------|--------|-------|
| 1        | D      | 1     |
| 2        | B      | 1     |
| 3        | C      | 1     |
| 4        | A      | 1     |
| 5        | A      | 1     |
| 6        | C      | 1     |
| 7        | B      | 1     |
| 8        | B      | 1     |
| 9        | A      | 1     |
| 10       | C      | 1     |
| 11       | C      | 1     |
| 12       | D      | 1     |
| 13       | D      | 1     |
| 14       | D      | 1     |
| 15       | D      | 1     |
| 16       | C      | 1     |
| 17       | C      | 1     |
| 18       | C      | 1     |
| 19       | A      | 1     |
| 20       | D      | 1     |
| 21       | B      | 1     |
| 22       | C      | 1     |
| 23       | A      | 1     |
| 24       | B      | 1     |
| 25       | D      | 1     |
| 26       | A      | 1     |
| 27       | B      | 1     |
| 28       | C      | 1     |

| Question | Answer | Marks |
|----------|--------|-------|
| 29       | B      | 1     |
| 30       | C      | 1     |